

MAGNOLIA TERRACE

Investment / Sales Offering Memorandum — REVISION v2

Raleigh, NC · Multifamily · 48 units · As-of 2026-09-01 (revised roll)

Supersedes v1 dated 2026-08-31. v1 is retained in the audit archive — this OM does not replace it.

Property	Magnolia Terrace
Market	Raleigh, NC
Asset type	Multifamily
Total units	48
Total rentable area	40,800 SF
Physical occupancy (unit / area)	93.75% / 92.43% (v1: 91.67% / 89.90%)
Annual in-place rent (revised roll)	\$977,100 (v1: \$974,400)
Underwritten NOI (pre-reserves)	\$643,862 (v1: \$641,374)
Underwritten NCF (post-reserves)	\$629,462 (v1: \$626,974)
Capitalized value @ 6.00% cap	\$10,731,028 (v1: \$11,154,323 @ 5.75%)
Maximum loan (DSCR binding)	\$6,307,523 (v1: \$6,788,545)
Net cash-out	\$1,999,448 (v1: \$2,475,660)
Photos	Not supplied
Asking price	Not supplied
Market sales / rent comps	Not supplied
Sponsor history	Not supplied

Source-backed analysis. Assumptions remain subject to diligence.

Original fictional CRE Bench evaluation material. No real transaction, no real address, no real sponsor. All figures derived from the provided packet only; no external research.

Revision Summary — v1 → v2

This OM revises the prior v1 to reflect the September 1, 2026 revised certified rent roll and the accompanying revision-notice.pdf. All unaffected facts, structure, and section content are preserved. Highlighted rows below indicate items whose value changed.

Item	v1	v2	Delta / basis
Controlling roll date	2026-08-31	2026-09-01	+1 day (revision-notice.pdf; rent-roll-revised.xlsx)
Suite 045 possession	pending	active	tenant now in possession (revised roll)
Suite 045 monthly rent	\$1,925	\$2,150	+\$225 per revision-notice.pdf
Total monthly scheduled rent	\$81,200	\$81,425	+\$225
Gross potential rent	\$974,400	\$977,100	+\$2,700
Active units	44	45	+1
Pending units	1	0	−1
Unit occupancy	91.67%	93.75%	+2.08 pp
Area occupancy	89.90%	92.43%	+2.53 pp
Cap rate	5.75%	6.00%	+25 bps (revision-notice.pdf)
Sizing rate / note rate	6.25%	7.00%	+75 bps (revision-notice.pdf)
Rate floor	6.00%	6.00%	unchanged; still not binding
UW EGI	\$942,480	\$945,045	+\$2,565
UW NOI (pre-reserves)	\$641,374	\$643,862	+\$2,488
UW NCF (post-reserves)	\$626,974	\$629,462	+\$2,488
Capitalized value	\$11,154,323	\$10,731,028	−\$423,296 (NOI up, but cap +25 bps)
LTV-cap loan	\$7,250,310	\$6,975,168	−\$275,143
DSCR-cap loan	\$6,788,545	\$6,307,523	−\$481,022 (rate up ⇒ K up 8.1%)
DY-cap loan	\$6,966,373	\$6,994,018	+\$27,645
Binding constraint	DSCR	DSCR	unchanged
Maximum loan	\$6,788,545	\$6,307,523	−\$481,022
Net cash-out	\$2,475,660	\$1,999,448	−\$476,212 (still positive)
risk_pending_in_occupancy	present	absent	cleared (no pending on revised roll)

Result: smaller loan, smaller net cash-out, but still positive — no refinance shortfall. DSCR remains the binding constraint (larger amortizing constant more than offsets the modest NOI increase). Occupancy risk cleared because the pending unit is now in possession.

1. Executive Summary

Magnolia Terrace is a 48-unit multifamily property in Raleigh, NC. Under the revised certified rent roll as of **2026-09-01** (which supersedes the 2026-08-31 roll per revision-notice.pdf), the property is now **45 units in active possession, 0 pending**, and 3 vacant (Suites 046–048). Physical occupancy is **93.75% by unit** and **92.43% by area**. The manager's headline 'leased 45 of 48' now aligns with possession-based occupancy — there is no longer a pending-in-occupancy overstatement.

Applying the revised roll, gross potential rent is **\$977,100** (Suite 045 rent +\$225/month). Underwriting assumptions are unchanged except the two rate adjustments: **cap rate 6.00%** (+25 bps) and **sizing rate 7.00%** (+75 bps, on the greater-of note-or-floor test — note still binds; floor of 6.00% is not binding). UW NOI is **\$643,862** (pre-reserves) and UW NCF is **\$629,462** (post-reserves). Capitalized value at 6.00% is **\$10,731,028**.

The **maximum loan is \$6,307,523**, with **DSCR still the binding constraint**. After the \$4,200,000 existing payoff, 1% origination and \$45,000 closing costs, the **net cash-out is \$1,999,448** — positive; **no refinance shortfall**. Vs v1, the loan is \$481K smaller and net cash-out is \$476K smaller, driven primarily by the +75 bps sizing rate.

Snapshot metrics (revised)

Metric	Value	Metric	Value
UW EGI	\$945,045	Max loan	\$6,307,523
UW NOI	\$643,862	Binding constraint	DSCR (1.25×)
UW NCF	\$629,462	Loan-to-value	58.78%
Cap value @ 6.00%	\$10,731,028	Debt yield (NCF)	9.98%
Existing payoff	\$4,200,000	Net cash-out	\$1,999,448

2. Property & Unit / Suite Mix

Manager mapping (per manager-cover.pdf): Group A = Studio, Group B = 1BR, Group C = 2BR. Mix and areas are unchanged; only 2BR occupied count moved from 12 to 13 as Suite 045 took possession.

Group	Unit type	Units	Occupied (active)	Area SF / unit	Total area SF
A	Studio	16	16	700	11,200
B	1BR	16	16	820	13,120
C	2BR	16	13 (v1: 12)	1,030	16,480
Total		48	45 (v1: 44)		40,800

Occupied area SF = $16 \times 700 + 16 \times 820 + 13 \times 1,030 = 37,710$ SF. Area occupancy = $37,710 / 40,800 = 92.43\%$. Unit occupancy = $45 / 48 = 93.75\%$.

3. Lease & Occupancy Analysis

Roll selection. The revised certified roll dated 2026-09-01 controls per revision-notice.pdf. The prior certified roll (2026-08-31) is superseded and no longer used for underwriting. The 2026-06-30 archive remains stale.

Possession states. 45 active, 0 pending, 3 vacant (Suites 046–048). No temporary free-rent concession applies as of the evaluation date (per lease-001.pdf).

Rollover. Every active lease expires 2029-08-31, roughly 35 months from the revised as-of date. There is **no near-term rollover** within the 12-month horizon.

Suite 045. Was pending on the prior roll (not in possession). On the revised roll it is active with monthly rent increased \$225 to \$2,150. All other Suite 045 lease details unchanged.

Suite 001 rent — resolvable source conflict (unchanged from v1). Lease-001.pdf executes at \$1,500/month; the signed correspondence amendment (both parties executed 2026-07-20, effective 2026-08-01) increases monthly rent by \$350 to **\$1,850 in place**. The revised certified roll still shows Suite 001 at \$1,500, which is the pre-amendment figure. The signed amendment controls per lease-001.pdf's own language. Per the prescribed underwriting rules, GPR is calculated on the certified roll *before* the Suite 001 amendment, so this reconciles — a known, explained conflict, not left unresolved.

4. Historical vs Underwritten Financials

Historical T12 (2025-09-01 through 2026-08-31) is unchanged — revision does not restate history. Reported historical NOI (\$604,128) is before reserves. UW NCF (\$629,462) is after \$14,400 of reserves. Definitions differ and are labeled per diligence-status.pdf.

Line item	Historical T12	Underwritten v2	Basis
Collections / GPR	\$876,960	\$977,100	Historical: T12 cash. UW: all-suite scheduled × 12 on revised roll (pre-amendment).
Less: economic loss (5%)	—	(\$48,855)	UW rule.
Plus: other income (\$350/unit)	(embedded)	\$16,800	Reimbursement inside T12 & roll — no double-count.
Effective gross income	—	\$945,045	
Real estate taxes	(\$102,312)	(\$102,312)	Prescribed; unchanged.
Insurance	(\$34,104)	(\$34,104)	Prescribed; distinct from GL limit \$2,000,000.
Other recurring opex	(\$136,416)	(\$136,416)	Prescribed; unchanged.
Management (3% EGI)	(embedded)	(\$28,351)	UW rule; scales with EGI.
Roof replacement	\$0 (capital)	\$0	Capital, not opex.
NOI (pre-reserves)	\$604,128	\$643,862	Definitions differ; labels enforced.
Replacement reserves	—	(\$14,400)	\$300 × 48.
NCF (post-reserves)	—	\$629,462	

5. Debt Sizing, Sources & Uses

Sized on the greater of the revised 7.00% note rate or the 6.00% floor (note binds; floor still not binding). Amortization 30 years, monthly. Annual mortgage constant at 7.00% = 0.07983630 (vs 0.07388606 at 6.25%).

Sizing constraint	Formula	Result (v2)	v1
LTV cap	65% × \$10,731,028	\$6,975,168	\$7,250,310
DSCR cap	\$629,462 ÷ (1.25 × 0.07983630)	\$6,307,523	\$6,788,545
Debt yield cap	\$629,462 ÷ 9%	\$6,994,018	\$6,966,373
Maximum loan	MIN of the three	\$6,307,523	\$6,788,545
Binding		DSCR	DSCR

Sources & Uses (revised)

	v2	v1
Sources: new senior loan	\$6,307,523	\$6,788,545
Uses: existing loan payoff	\$4,200,000	\$4,200,000

	v2	v1
Uses: origination fee (1%)	\$63,075	\$67,885
Uses: closing costs	\$45,000	\$45,000
Total uses	\$4,308,075	\$4,312,885
Net cash-out (Sources – Uses)	\$1,999,448	\$2,475,660

Resulting LTV 58.78%, DSCR 1.25× (binding), debt yield 9.98%. Net cash-out remains **positive**; **no refinance shortfall**.

6. Risks & Missing Diligence

Each risk is reassessed independently against the revised packet.

Risk	v2	Basis	v1
risk_pending_in_occupancy	absent	Revised roll: 0 pending; possession-based count equals leased count.	present
risk_near_term_rollover	absent	All active leases expire 2029-08-31 (~35 months out).	absent
risk_missing_insurance	absent	GL policy in force through 2027-06-30.	absent
risk_capital_in_opex	absent	Operating statement shows roof at \$0 in repairs; correctly capital.	absent
risk_unsigned_rent_change	absent	Only rent change in packet is a signed amendment.	absent
risk_temporary_free_rent	absent	lease-001.pdf: no free-rent concession.	absent
risk_sizing_floor_binding	absent	Note 7.00% > floor 6.00%; note binds.	absent
risk_refinance_shortfall	absent	Max loan \$6,307,523 > \$4.2M payoff + \$108,075 costs; \$1,999,448 surplus.	absent

Missing diligence (routine — not defects)

Per diligence-status.pdf, legal, environmental, property condition, and title reviews remain not completed. Labeled as absent rather than assumed clean or dirty. No evidence of contamination, litigation, fraud, or structural failure is present in the packet.

Not supplied: photos, asking price, market sales comps, market rent comps, sponsor history. Absence labeled; nothing invented.

7. Source Notes

Filename	Role in v2
revision-notice.pdf	New for v2: instructs revised roll adoption, +75 bps sizing rate, +25 bps cap rate; preserve approved copy.
rent-roll-revised.xlsx	New for v2, controlling. As of 2026-09-01. 45 active, 0 pending, 3 vacant. Suite 045 active at \$2,150.
rent-roll-certified.xlsx	Prior controlling roll (2026-08-31) — superseded.
rent-roll-archive.xlsx	Stale archive (2026-06-30) — not used.
manager-cover.pdf	Property identity; A/B/C = Studio/1BR/2BR mapping. Unchanged.
lease-001.pdf	Suite 001 base \$1,500; signed amendment controls; no free rent. Unchanged.

Filename	Role in v2
lease-correspondence.pdf	Signed amendment +\$350 → \$1,850 in-place Suite 001. Unchanged.
operating-statement.pdf	Historical T12 — unchanged. Roof capital, not opex.
underwriting-instructions.pdf	UW rules — unchanged except rate adjustments per revision-notice.pdf.
insurance.pdf	GL aggregate limit \$2,000,000. Unchanged.
diligence-status.pdf	Reviews still pending; matching-doc discipline enforced.

Source-backed analysis. Assumptions remain subject to diligence.

CRE Bench — original fictional evaluation material. No real transaction represented. This v2 OM supersedes v1 for underwriting purposes; v1 is retained in the audit archive.